

04 Jun 2026 13:26:22 ET | 11 pages

CHPT (6510.TWO)

What's New at Citi Taiwan Tech Conference 2026

CITI'S TAKE

CHPT attended our Taiwan Tech Conference on Jun 3. The meeting discussion centered on CHPT's capacity expansion schedule and the progress of multiple AI ASIC projects. Overall, the company paints a positive outlook backed by its deep engagement in the advanced packaging ecosystem, which is structurally driving up testing complexity. Near-term momentum is further supported by an upbeat May-26 revenue, hinting at potential upside to the current quarter. We remain constructive on CHPT's multi-year pipeline, which offers high growth visibility into 2027 and beyond. We continue to view CHPT as the beneficiary of raising testing complexity in advanced packaging. Reiterate Buy.

- **AI ASIC projects to fuel 2H26 and beyond.** CHPT reaffirmed that the upcoming US CSP AI ASIC project to serve as its primary mid- to long-term growth catalyst starting in 2H26. Addressing investor concerns regarding next-gen project share allocation, mgmt. clarified that the allocations are not yet finalized and future order volumes could still further expand even under bear case scenario. Additionally, the progress of the AI ASIC project for an US auto maker remains on track. We expect the results of the qualification will be updated in the near-term.
- **Strong capacity ramping extended into 2027.** Mgmt. reiterated its expansion roadmap, confirming that total capacity remains on track to double by Aug 2026 compared to 2025 levels, with revenue contributions kicking off in 4Q26. To capture the structural pipelines from its key customers, CHPT plans to accelerate its expansion further, aiming to lift its capacity to 3x the 2025 level by Mar 2027.
- **May-26 revenues imply 2Q26E upside.** CHPT reported May-26 revenues of NT\$540mn (+4% MoM/+34% YoY), achieving 69% of Citi's 2Q26E forecast and highlighting potential upside to current estimates. Driven by accelerating global AI deployments, overall momentum is trending upward sequentially. Backed by its scaled capacity, mgmt. remains confident that monthly revenues to see MoM growth throughout the year.

Buy / High Risk

Price (04 Jun 26 15:00)	NT\$3,505.00
Target price	NT\$4,900.00
Expected share price return	39.8%
Expected dividend yield	0.4%
Expected total return	40.2%
Market Cap	NT\$114,926M US\$3,653M

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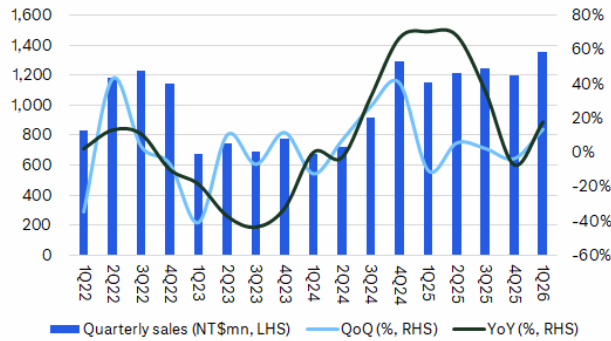
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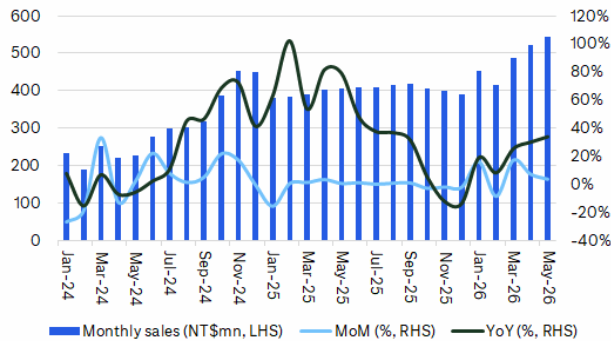
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Figure 1. CHPT – Quarterly sales trend



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Figure 2. CHPT – Monthly sales trend



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CHPT

Valuation

We value CHPT using a PE-based approach that factors in earnings momentum and the structural shift towards high-end testing. Our target price of NT\$4,900 is derived from applying 40x to 2027E EPS, near the high end of its historical PE range, which we believe is justified given the company's entrenched position in the 2nm/3nm testing segment, rising contribution from US AI GPU & AI ASIC projects, and the unique competitive advantage of its "All-in-House" vertical integration model. With these structural drivers in place, and as we believe the market is starting to value it as an AI/HPC play (rather than a consumer electronics stock), we expect the multiple to hold at a premium relative to its historical averages.

Risks

Our quant system rates the CHPT stock as High Risk for its share-price volatility.

Key downside risks that could impede the stock from reaching our target price, and to our earnings forecasts, include: 1) margin compression from lower-than-expected utilization rates; 2) execution delays in concentrated US AI GPU and ASIC programs; 3) intensifying competition in testing boards from global peers; and 4) structural gross margin dilution from a shift towards high-end burn-in boards.

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Appendix A-1

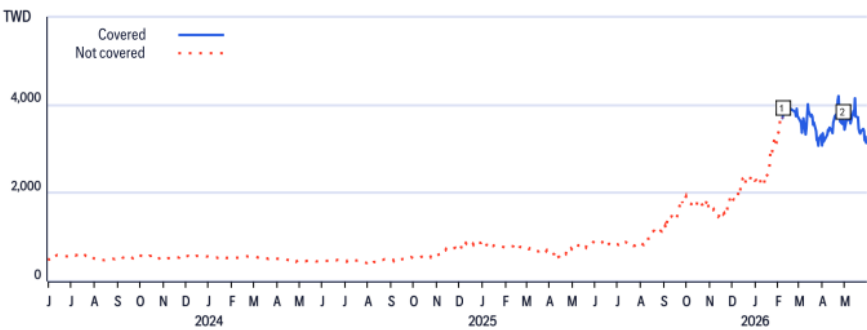
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CHPT (6510.TWO)
Ratings and Target Price History
Fundamental Research

Analyst: Michael Hung



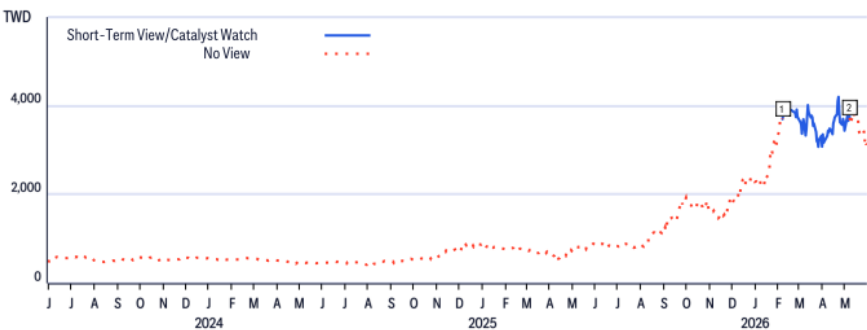
Date	Rating	Target Price	Closing Price
06-Feb-26 05:59:37	*1H	*5,000.00	3,700.00
29-Apr-26 07:12:48	1H	*4,900.00	3,630.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

CHPT (6510.TWO)
Short-Term View/Catalyst Watch Research

Analyst: Michael Hung



Date	Action	Expected Direction	Duration	Closing Price
06-Feb-26 00:59:37	Add CW	Upside	90 Days	3,700.00
07-May-26 22:13:10	Remove CW	Upside	90 Days	3,730.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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